



more and more investors enter the market, afraid that they will miss the bus. This herd mentality pushes the stock still further. Now with greed in the driving seat representative heuristic comes into play. Stocks in related industries also rise. The endowment effect makes investors feel that the market is undervaluing their stock and they become more confident of their holding. They become salesmen for the stock and recommend it to their own friends and relatives. Each person becomes an expert in his own sphere of influence. The initial operator then exits and moves to other stocks in the same industry where representative heuristic is at play. The bubble is for real and the reinforcing loop is strong. All the participants of the market are happy, as each one is a winner.

Between the cause and effect there is an interval, the duration of which no one can predict. The balancing loop has to come into play to correct the reinforcing loop, as the goal of every system is to be stable. Nobody can predict when that will happen, but happen it will. The severity of the balancing loop is directly proportionate to the severity of the reinforcing loop.



The Bubble Bursts

Gradually the stock price loses momentum. It does not rise the way it once did. In fact, with the loss of momentum it loses favour with technical analysts. The stock falls and does not recover for a couple of days. Then it falls further and confusion sets in. Insiders get jittery and adverse stories do the rounds. The stock price declines even further on such news. Now, fear and greed pull investors in opposite directions. Those holding the stocks get into decision paralysis and are reluctant to exit should the stock rebound. Some are anchored to the high prices and they feel that this downward movement is an opportunity to accumulate. Sunk cost fallacy drives investors to buy to average their cost of purchase. This leads to small cheater's rallies where the stock goes up for sometime only to fall further. More people get trapped. With declining prices there is a crisis of confidence. The regulator is alerted and starts investigating the fall in stock